ARTICLE

The Hidden Cost of Operational Inefficiency

Uncover the costs organizations don't see in fragmented processes, manual work and disconnected systems. Legacy looks cheap because its cost hides in **admin time**, **training**, **undocumented knowledge**, **audit effort** and **one weekly report**.

WHAT THIS ARTICLE TALKS ABOUT

01 What the hidden cost is

02 Why it stays hidden

03 What our clients told us

04 Frameworks to measure it

05 How the industry approaches it

06 How L5 approaches it

THE BILL YOU SEE

Service platform licenses	X
Implementation	one-off
Service desk headcount	budgeted
What finance signs off	**X**

This is the figure reviewed at renewal. Everything on the right is real and recurring, yet it sits in other budgets: HR, finance, risk, and every team that raises a request.

THE BILL YOU ACTUALLY PAY

Licenses	X
+ Admin time and manual hand-offs	every team
+ Training on the tool	HR
+ Undocumented knowledge	escalations
+ Audit effort	finance, risk
+ The weekly report	decisions
+ Integration upkeep	run budget
+ Supplier dependency	services
+ Downtime risk	the business
Fully loaded	**2.7× to 4.1× X**

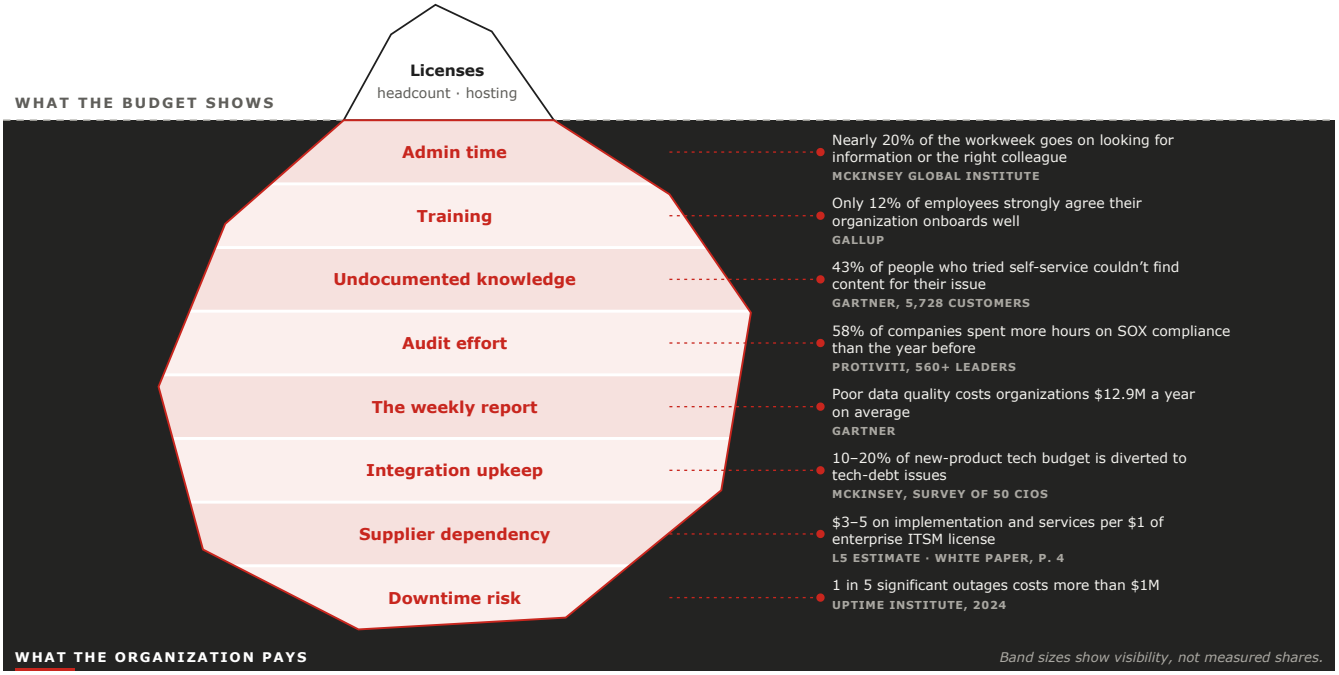
FULLY LOADED PORTFOLIO COST VS LICENSE LINE · L5 ESTIMATE · WHITE PAPER, P. 2

Each year the renewal arrives, finance approves it, and the figure seems entirely reasonable. On paper, the service desk costs what the license says it does. In practice, L5 estimates the fully loaded cost of a service software portfolio at 2.7 to 4.1 times that line (L5 white paper[17], p. 2). The difference does not vanish. It is simply paid elsewhere, by other teams, in hours, rework and risk.

This is why legacy looks inexpensive. It seldom fails outright: tickets are closed, the service desk remains open, and the renewal appears modest beside the cost of replacement. The pattern holds at scale. US federal agencies devote about 80 percent of their IT budget to operating and maintaining existing systems (GAO[5]), and CIOs surveyed by McKinsey report that 10 to 20 percent of the budget intended for new products is diverted to resolving tech debt (McKinsey[4]).

> **About the two L5 ratios.** The 2.7–4.1× portfolio ratio (white paper p. 2) and the $3–5 services ratio (p. 4) are L5 estimates, not independent research. They measure different things: the first compares the fully loaded cost of a service software portfolio with its license line; the second compares implementation and services spend with the license for enterprise ITSM platforms only. The two should not be added together or read as one figure.

FIGURE 1 · WHERE THE COST OF A LEGACY SERVICE OPERATION SITS Red = hidden cost



Sources for each callout are listed at the end of the article.

01 · WHAT THE HIDDEN COST IS

The share of ownership cost that no one approves

Ask what a service platform costs and the answer is usually a single number: the license. Total cost of ownership poses a more useful question: what does it cost to own and operate, including training, lost productivity and downtime (IBM, 2025[1])? The distance between those two answers is where operational inefficiency resides.

DEFINITION

The hidden cost of operational inefficiency is the full cost of running a service that never appears on that service's budget: the time, rework and risk that fragmented processes, manual work and disconnected systems transfer to the rest of the organization.

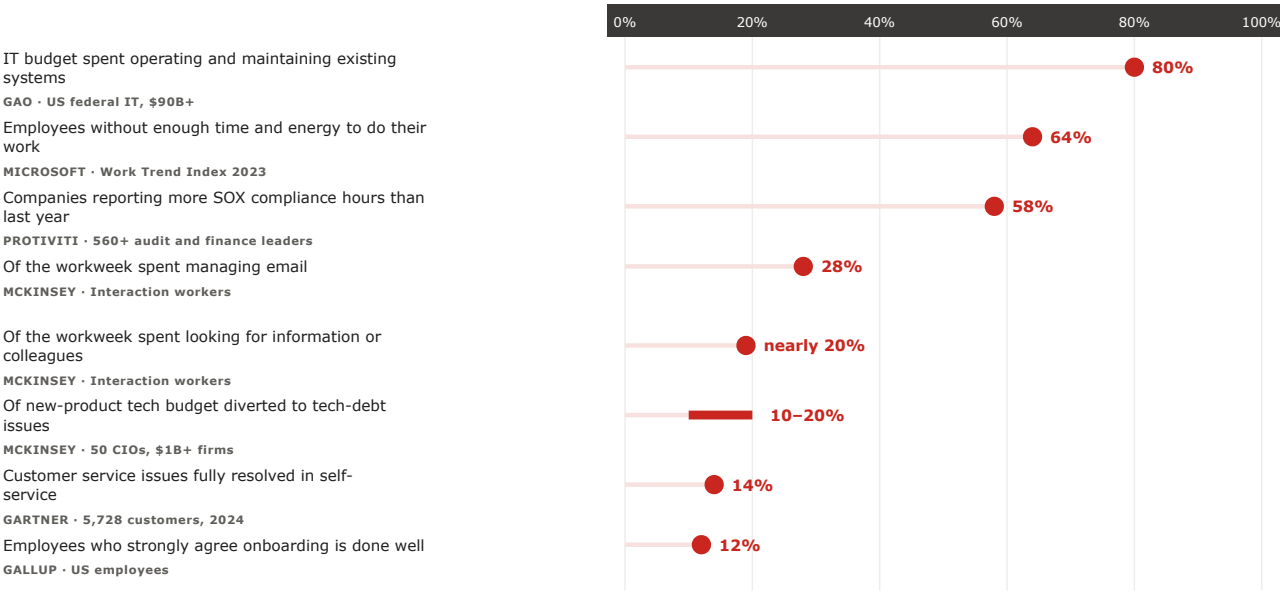
Eight places it hides

HIDDEN COST	HOW IT APPEARS DAY TO DAY	WHY NO BUDGET CAPTURES IT	WHAT THE RESEARCH SHOWS
Admin time	Agents re-enter the same request in two tools, pursue approvals by email and answer repeated requests for updates	Distributed across every salary, it never appears as a line item	Nearly 20% of the workweek goes on looking for information; 28% on email (McKinsey[3])
Training	New starters and agents spend their first weeks learning the tool rather than the service	Recorded under HR and onboarding	12% of employees strongly agree their organization onboards well (Gallup[9])
Undocumented knowledge	Routing rules, fixes and workarounds reside with a few individuals rather than in the knowledge base	Surfaces as escalations and key-person risk, never as cost	14% of issues fully resolved in self-service; 43% couldn't find relevant content (Gartner[6])

Audit effort	Change and access evidence assembled by hand ahead of each audit	Charged to finance, audit and risk	58% of companies spent more hours on SOX compliance than the year before (Protiviti[10])
The weekly report	A spreadsheet rebuilt each week that counts tickets rather than outcomes	Its true cost lies in the decisions made from it	Poor data quality costs organizations $12.9M a year on average (Gartner[8])
Integration upkeep	Point-to-point integrations and custom scripts that fail with each upgrade	Absorbed into the run budget as "keeping the lights on"	10–20% of new-product budgets diverted to tech debt (McKinsey[4])
Supplier dependency	Each change to the platform becomes a paid services engagement	Held in a services contract, not the platform line	$3–5 in implementation and services for every $1 of enterprise ITSM license (L5 estimate[17], p. 4)
Downtime risk	Fragile platforms and manual changes make outages more likely and slower to resolve	Rarely budgeted until an outage occurs	1 in 5 significant outages costs more than $1M (Uptime Institute[16])

What the independent research shows

FIGURE 2 · WHAT CREDIBLE RESEARCH SAYS, ON ONE SCALE — Share of the population studied, %



Each figure measures a different population; the scale shows direction, not a combined total.

No single study measures the whole. Read together, they tell a coherent story: much of the money, and much of every working week, goes on keeping existing operations running, largely outside the budget that owns the service.

Much of it is failure demand

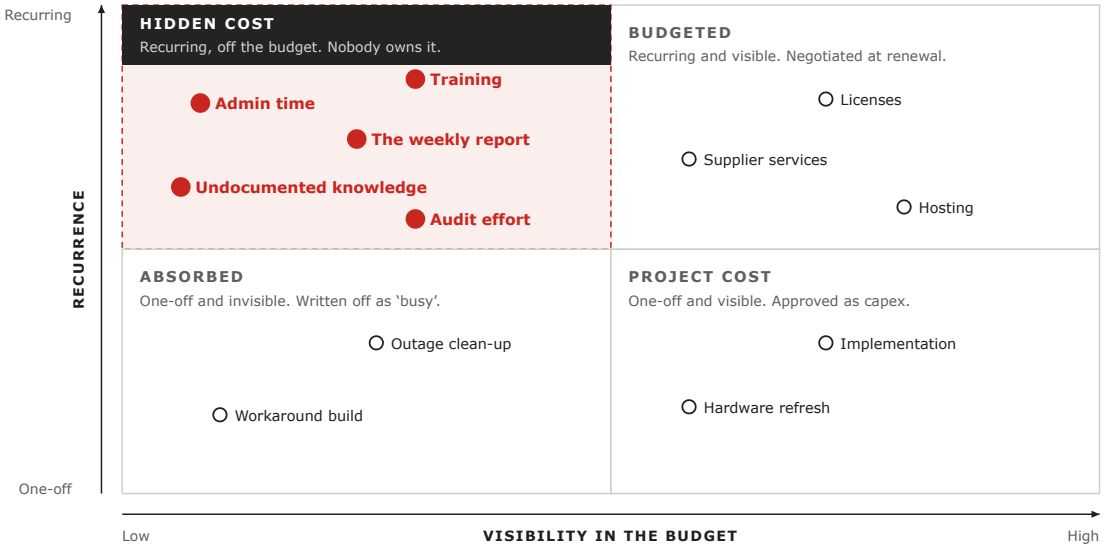
John Seddon describes this as failure demand: work that exists only because something was not done, or not done well, the first time (Seddon[2]). A follow-up on a missing laptop, a reopened incident, a second access request for the same system: none of it is new work, yet each claims an agent's time as fully as a new ticket. A considerable share of the costs above is the organization quietly absorbing its own failure demand.

It also explains why a self-service portal, on its own, rarely closes the gap. Gartner estimates a live contact at about $8.01 and a self-service contact at about $0.10 (Gartner[7]), yet that saving materializes only when the knowledge behind the portal exists and can be found.

Recurring, off the budget, and self-reinforcing

Two characteristics keep this cost out of view. It occupies the one quadrant of the budget that no review process is designed to examine, and it reinforces itself, so that this year's workaround becomes next year's baseline.

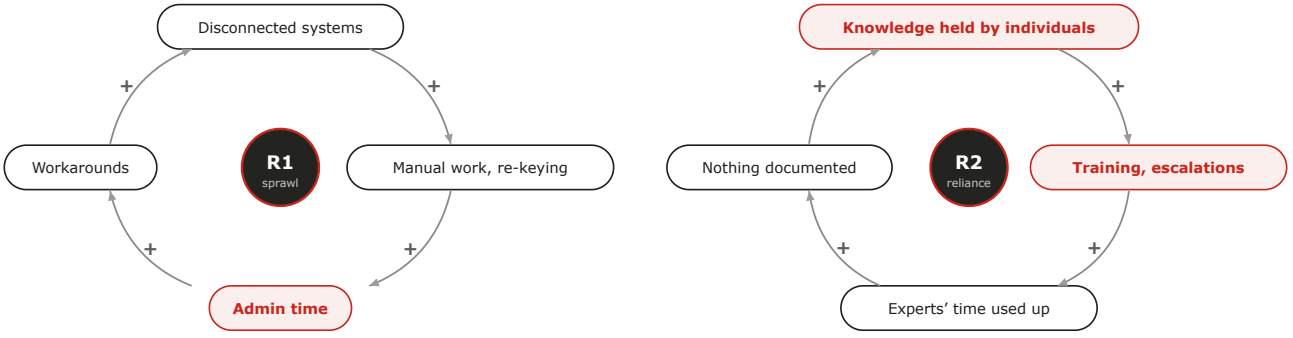
FIGURE 3 · VISIBILITY × RECURRENCE: WHICH COSTS GET MANAGED L5 view



Positions are L5's assessment based on client engagements, not measured values.

Project costs are approved as capital expenditure; licenses are negotiated at renewal; a difficult quarter is attributed to a busy period. A cost that recurs every week and belongs to no one's budget, however, has no forum in which it is ever examined. And so it persists.

FIGURE 4 · WHY IT COMPOUNDS: TWO REINFORCING LOOPS Systems-thinking causal loop



Both loops feed audit effort and the weekly report: more manual steps to evidence, more spreadsheets to reconcile.

The loops explain why the cost grows rather than stabilizes. Disconnected systems create manual work, manual work invites workarounds, and each workaround becomes another system to reconcile. Meanwhile, the few people who understand how things truly work spend their days on training and escalations, the very time they would need to document what they know. Researchers writing in Harvard Business Review observed employees switching between applications roughly 1,200 times a day, losing just under four hours a week to reorientation (HBR[12]).

Seven organizations, the same hidden costs

We reviewed our communications with seven client organizations across healthcare, financial services, chemicals, retail, media and semiconductors, as well as a company emerging from restructuring (L5 primary research[18]). These were discovery and delivery exchanges rather than interviews about cost, yet every organization described some form of hidden cost, often in passing.

FIGURE 5 · WHICH HIDDEN COSTS OUR CLIENTS DESCRIBED — L5 analysis of client communications

HIDDEN COST, BY ITIL DIMENSION	HEALTHCARE	FINANCIAL SERVICES	CHEMICALS	RETAIL	MEDIA	RESTRUC-TURING	SEMI-CONDUCTOR	CLIENTS WHO RAISED IT
ORGANIZATIONS + PEOPLE								
Undocumented knowledge and process	●	●				●		3/7
Training: time spent learning the tool				●	●		●	3/7
INFORMATION + TECHNOLOGY								
Disconnected systems, no single view	●		●	●			●	4/7
The weekly report: counts, not outcomes		●	●		●		●	4/7
Integration upkeep: legacy tools, weak APIs		●		●		●	●	4/7
Downtime and data-loss risk		●			●	●		3/7
PARTNERS + SUPPLIERS								
Supplier and license spend without matching value			●	●	●	●	●	5/7
VALUE STREAMS + PROCESSES								
Admin time and manual hand-offs		●	●	●	●		●	5/7
Audit effort: change and audit-trail gaps		●	●				●	3/7
Hidden costs raised per client out of the 9 costs listed above	2 of 9	6 of 9	5 of 9	5 of 9	5 of 9	4 of 9	7 of 9	

Each column is one client organization, named by industry only. ● = raised in our communications with that client. Rows grouped by ITIL's four dimensions. Right-hand column: how many of the 7 clients raised each cost. Bottom row: how many of the 9 costs each client raised. The matrix shows disconnected systems as its own row, so it lists nine costs rather than the eight in Section 01. Row and column totals both come to 34 mentions.

> "The only reporting we effectively use today is number of tickets per technician this week. That is all we have today."
>
> A CLIENT IN MEDIA · THE WEEKLY REPORT

> "A lot of the training time was actually on the system. How to navigate, what to do here, what to do there."
>
> A CLIENT IN RETAIL · TRAINING

> "If we're going to go down this road, someone has to maintain that, and it can't be just me."
>
> A CLIENT IN FINANCIAL SERVICES · UNDOCUMENTED KNOWLEDGE

> "You give an auditor incidents and changes… they say, well, then the entire dataset is wrong."
>
> A CLIENT IN FINANCIAL SERVICES · AUDIT EFFORT

> "We don't want it to take 45 minutes to generate the change request in order to do a two-minute build."
>
> A CLIENT IN FINANCIAL SERVICES · ADMIN TIME

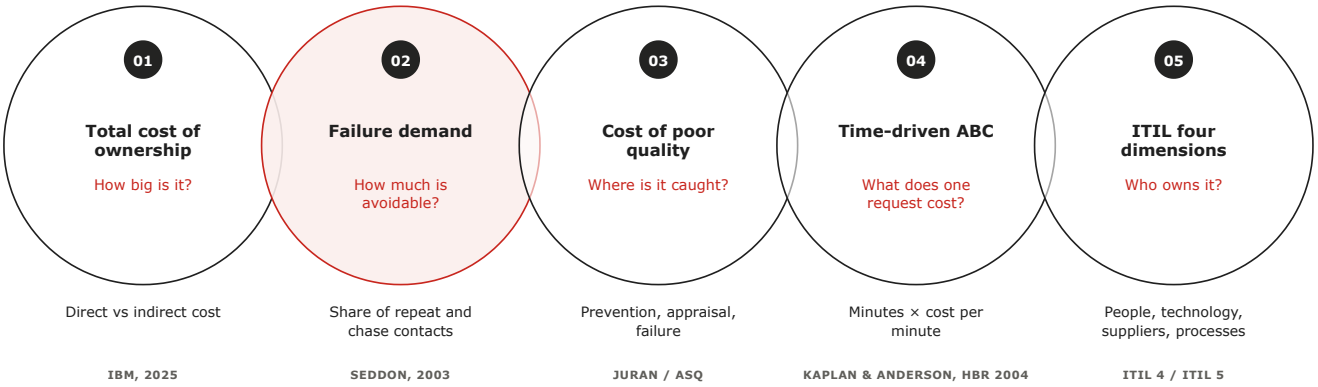
> "They don't have one centralized case management system, which makes it tough on all of the employee groups."
>
> A CLIENT IN HEALTHCARE · DISCONNECTED SYSTEMS

Two examples illustrate the pattern. A semiconductor client's homegrown ticketing tool reached its limit at 5,000 items, so the team deleted older tickets to keep it running, and with them the history that would have revealed recurring problems. A chemicals client that grew through three acquisitions inherited three service tools that did not connect, and change records that auditors could no longer rely on. In both cases the system still worked. The cost had simply moved elsewhere.

Five lenses turn a hidden cost into a number

None of these frameworks is new, which is precisely their value. Used together, they answer the five questions a budget owner needs settled before acting: how large the cost is, how much is avoidable, where it originates, what a single request truly costs, and who owns it.

FIGURE 6 · FIVE LENSES, ONE DIAGNOSIS — Each lens answers one question

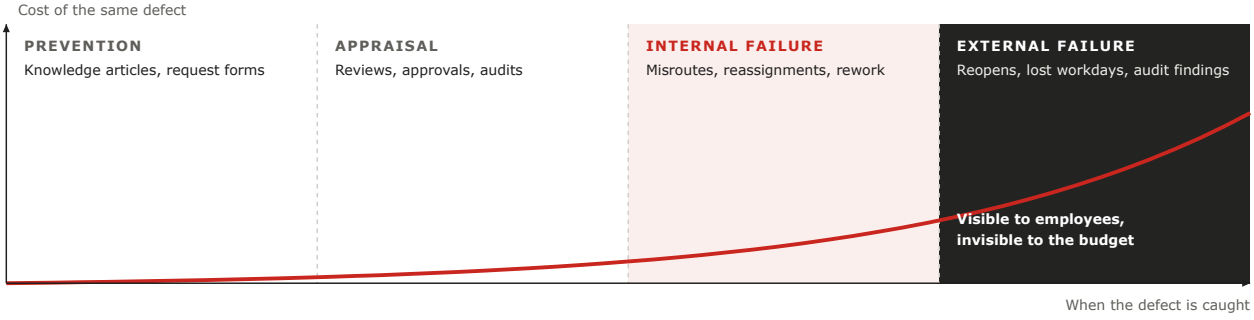


Pricing one request: time-driven activity-based costing

Kaplan and Anderson's time-driven approach requires only two estimates: the cost of a minute of team capacity, and the minutes each request type actually consumes, including follow-ups and rework (Kaplan and Anderson[13]). They recommend basing the calculation on practical capacity, typically around 80 percent of paid time, since no team is productive for every paid minute.

Cost per request type	=	**Minutes per request**	×	**Cost per minute**
what the hidden cost looks like per unit		including chasing, switching and rework		team cost ÷ practical capacity

FIGURE 7 · COST OF POOR QUALITY: THE LATER IT IS CAUGHT, THE MORE IT COSTS — After Juran; categories as defined by ASQ

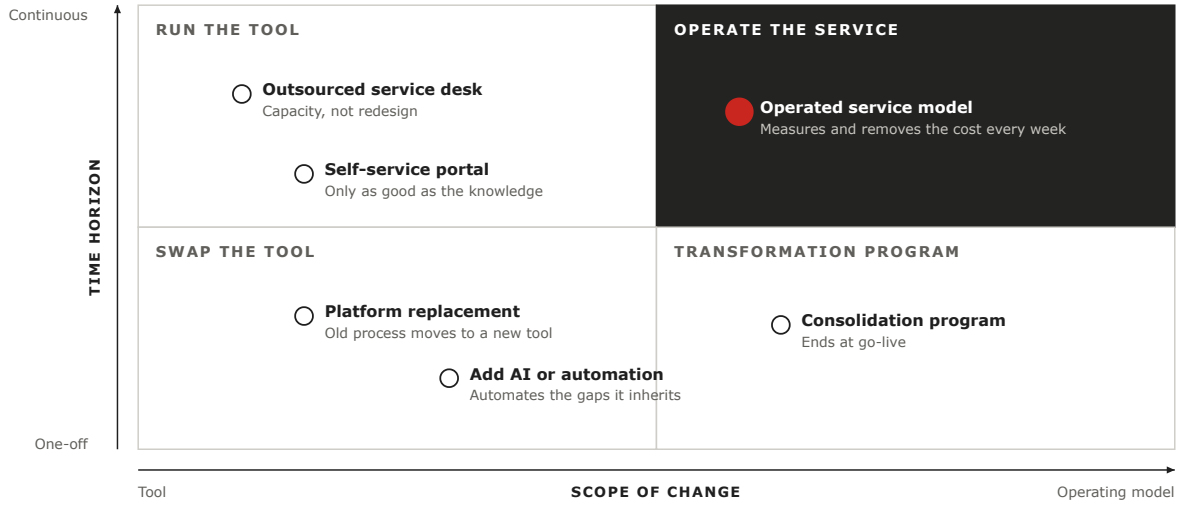


The cost-of-quality model shows where hidden cost accumulates (ASQ[14]). Prevention and appraisal are planned and visible; failure is not. External failure, whether a reopened incident or an audit finding, is at once the most expensive category and the least visible to the budget.

Most responses change the tool, not the operating model

Most organizations respond with a platform decision. Each option addresses something real, yet most leave the recurring, off-budget costs in place, because those costs reside in process and ownership rather than in software.

FIGURE 8 · HOW THE MARKET RESPONDS: SCOPE OF CHANGE × TIME HORIZON L5 view



Positions are L5's assessment.

APPROACH	WHAT IT IMPROVES	WHAT IT LEAVES BEHIND	EVIDENCE
Platform replacement	Tooling, features, support	The old process, rebuilt on the new tool; training and audit effort restart	Most IT budgets are already committed to run cost (GAO[5])
Self-service portal	Channel cost	Undocumented knowledge: the portal is only as good as its content	14% of issues fully resolved in self-service (Gartner[6])
AI and automation	Speed on routine requests	Gaps in knowledge and process, now automated	10–20% of new-product budgets go to tech debt (McKinsey[4])
Outsourced service desk	Capacity	Supplier dependency; services spend after go-live	$3–5 in services per $1 of enterprise ITSM license (L5 estimate[17], p. 4)
Consolidation program	Duplicate tools, switching	Ends at go-live; the savings drift without an owner	Operator-run platforms kept 89% of initial deflection at 18 months vs 51% without (IDC, via L5 white paper[17], p. 10)

Measure it, remove it, and keep it removed

We treat hidden cost as an operating challenge rather than a platform decision. Assess, Onboard and Operate map directly onto ITIL's continual improvement model (ITIL[15]), and the final stage, the one most programs conclude before reaching, is the one we run every week.

FIGURE 9 · ASSESS, ONBOARD, OPERATE ON ITIL'S CONTINUAL IMPROVEMENT MODEL



ASSESS
Steps 1–3 · one week, fixed scope
Baseline the hidden cost across people, process and platform. Output: scorecard, roadmap, business case.

ONBOARD
Steps 4–5 · one Drive per use case
Simplify first, then build. Each Drive ends live in production, not in a sandbox.

OPERATE
Steps 6–7 · recurring, weekly
Re-measure, fix what production reveals, keep knowledge and integrations current. Outcomes in the SOW.

	TYPICAL APPROACH	THE L5 APPROACH
Starting point	Compare platforms on license and features	Baseline all eight hidden costs alongside the license line
Design	Replicate today's process on a new tool	Simplify first, using ITIL practices as the standard
Delivery	One large project that ends at go-live	One Drive per use case, each live in production
After go-live	Ad hoc services, billed as needed	Weekly operation with outcomes committed in the SOW
Measurement	SLA attainment and ticket volume	Cost per resolution, failure demand share, time to productive
Ownership	Split across IT, HR and the vendor	One accountable operator

600+
customer engagements in two years
L5 DELIVERY DATA

<10%
reach an operated state without someone actively running the cycle
L5 DELIVERY DATA

89% / 51%
initial deflection kept at 18 months, with and without a dedicated operator
IDC, VIA L5 WHITE PAPER, P. 10

55 to 7
days: average ClickUp onboarding time under ACT
L5 WHITE PAPER, P. 14

> "We're not looking for vendors, we're looking for partners, people who can grow with us in the long term."
>
> A CLIENT IN HEALTHCARE

READ MORE

WHITE PAPER

The Hidden Cost of Fragmented Service Operations

The complete analysis behind this article: the five cost mechanisms of a fragmented service portfolio, why each member of the buying committee sees only part of the picture, and the three decisions to make before the next platform evaluation.

READ THE WHITE PAPER »

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19. L5 delivery data: 600+ customer engagements

Client statements come from L5's client communications and are attributed by industry only. Figures from different studies describe different populations and are not combined.